I don’t think either the prime minister or the finance minister had even contemplated another extension for me. To make matters absolutely clear though, I told Chidambaram as early as in January 2013 that he should begin thinking about my successor. He passed it over saying it was more than six months away. I reminded him again in March 2013, and also told him that the government should announce my successor three months before the close of my tenure so that the incumbent could understudy during that period. I had in mind my own experience of the abrupt shift I had to make from Delhi to Mumbai and how disruptive such unprepared transitions can be for both the institution and the individual. On the other hand, understudying for the new position can add enormous value to the change of guard.

I knew from working with Chidambaram that he was not only a reformer but also a modernizer. I thought he would readily accept my suggestion, which should mark a welcome departure from the standard, but antiquated, practice in the government of making decisions on high-level appointments at the eleventh hour. But he looked askance at me, surprised, I thought, at my readiness to become a ‘lame-duck’ governor for a full three months. My own experience in the civil service, however, gave me no reason to believe in the ‘lame-duck’ theory; in the Indian system, the incumbent prevails till he or she actually signs off.

My term was finishing on 4 September 4 2013, but there was no decision from the government even as we entered July. There was mounting speculation about who my successor might be. Although Rajan was the overriding favourite, there were other names being speculated about as well —Saumitra Choudhury, member of the Planning Commission, and Arvind Mayaram, finance secretary, among them.

The government announced Rajan’s appointment as the twenty-third governor of the Reserve Bank on the afternoon of 6 August. Chidambaram, courteous and correct as always, called me earlier that morning to inform me in advance not only about the appointment but also about Rajan being an understudy for one month. I thought he sounded a bit apologetic about